LINCOLN ELECTRIC SYSTEM

BALANCE SHEET

As of December 31, 2022

	(Dollars in thousands)
Assets and Deferred Outflows of Resources	
Current Assets	
Cash and cash equivalents	$ 156,776
Restricted cash, cash equivalents and investments	20,628
Accounts receivable, net	25,648
Lease receivable	333
Accrued lease interest	7
Unbilled revenues	15,484
Accrued interest receivable	1,441
Materials, supplies and fuel inventory	27,692
Plant operation assets	13,749
Other current assets	4,729
Total current assets	266,487
Noncurrent Assets	
Restricted cash, cash equivalents and investments	10,275
Lease receivable	6,741
Accrued lease interest	40
Other noncurrent assets	3,707
Total noncurrent assets	20,763
Capital Assets	
Utility plant	1,810,643
Accumulated depreciation	(906,710)
Construction work in progress	91,931
Total capital assets	995,864
Deferred Outflows of Resources	
Deferred loss on refunded debt	9,421
Deferred costs for asset retirement obligations	3,180
Total deferred outflows of resources	12,601
Total assets and deferred outflows of resources	$ 1,295,715
Liabilities and Deferred Inflows of Resources	
Current Liabilities	
Accounts payable	$ 18,130
Accrual for payments in lieu of taxes	12,506
Commercial paper	65,500
Accrued liabilities	21,315
Current maturities of long-term debt	30,535
Accrued interest payable	6,438
Total current liabilities	154,424
Noncurrent Liabilities	
Long-term debt, net	572,137
Developer performance deposits	250
Health and dental plan reserves	708
Asset retirement obligation	3,180
Total noncurrent liabilities	576,275
Deferred Inflows of Resources	
Reductions of future billings	34,932
Leases	6,890
Total deferred inflows of resources	41,822
Total deferred inflows of resources	772,521
Net Position	
Net investment in capital assets	346,153
Restricted for debt service	10,249
Restricted for employee health insurance claims	2,856
Unrestricted	163,936
Total net position	523,194
Total liabilities and net position	$ 1,295,715

See Notes to the Financial Statements.

LINCOLN ELECTRIC SYSTEM

STATEMENT OF REVENUES, EXPENSES AND CHANGES IN NET POSITION

As of December 31, 2022

	(Dollars in thousands)
Operating Revenues	
Electric retail	$ 275,492
Electric wholesale	65,330
Other (includes City Dividend for Utility Ownership)	20,561
Total operating revenues	361,383
Operating Expenses	
Purchased power	90,005
Produced Power	74,377
Operations	16,797
Maintenance	9,815
Administration and general	56,643
Depreciation	34,495
Total operating expenses	282,132
Operating Income	79,251
Nonoperating Revenues (Expenses)	
Interest expense	(18,382)
Payment in lieu of taxes	(12,738)
City Dividend for Utility Ownership	(10,770)
Other expense	(3)
Interest income	3,766
Other income	500
Total nonoperating expenses	(37,627)
Capital Contributions	988
Plant Costs Recovered through Capital Contributions	(988)
Change in Net Position	41,624
Net Position - Beginning of Year	481,570
Net Position - End of Year	$ 523,194

See Notes to the Financial Statements.

LINCOLN ELECTRIC SYSTEM

STATEMENT OF CASH FLOWS

As of December 31, 2022

	(Dollars in thousands)
Operating Activities	
Received from sales to customers and users	$ 361,660
Sales tax receipts	16,673
Paid to suppliers for goods and services	(234,047)
Paid to employees for services	(18,666)
Payments for sales tax	(16,454)
Net cash provided by operating activities	109,166
Noncapital Financing Activities	
Payment in lieu of taxes	(12,632)
City Dividend for Utility Ownership payments	(10,376)
Net cash used in noncapital financing activities	(23,008)
Capital and Related Financing Activities	
Capital expenditures	(53,595)
Net cost/salvage value of retiring plant	(1,566)
Capital contributions	988
Cash received from leases	421
Principal payments on long-term debt	(30,205)
Interest payments on long-term debt	(21,050)
Net cash used in capital and related financing activities	(105,007)
Investing Activities	
Net sales of investments	10,009
Interest received	2,223
Net cash provided by investing activities	12,232
Net Change in Cash and Cash Equivalents	(6,617)
Cash and Cash Equivalents - Beginning of Year	27,407
Cash and Cash Equivalents - End of Year	$ 20,790
Reconciliation of Cash and Cash Equivalents to the Balance Sheet	
Cash and cash equivalents	$ 156,776
Restricted cash, cash equivalents and investments - current	20,628
Restricted cash, cash equivalents and investments - noncurrent	10,275
Total cash, cash equivalents and investments	187,679
Less: investments not classified as cash equivalents	(166,889)
Total cash and cash equivalents	$ 20,790

See Notes to the Financial Statements.

LINCOLN ELECTRIC SYSTEM

STATEMENT OF CASH FLOWS – CONTINUED

As of December 31, 2022

Reconciliation of Operating Income to Net Cash Flow from Operating Activities	**(Dollars in thousands)**
Operating income	$ 79,251
Noncash items included in operating income	
Depreciation charged to other accounts	933
Depreciation and amortization	34,495
Changes in operating assets and liabilities	
Accounts receivable	(4,825)
Unbilled revenues	56
Materials, supplies and fuel inventories	(3,689)
Plant operation assets	(469)
Other current assets	(611)
Other noncurrent assets	370
Accounts payable	1,524
Sales tax payable	180
Accrued expenses	1,876
Health and dental plan reserve	75
Net cash provided by operating activities	$ 109,166

Supplemental Non-cash Activities	
Adjustment of investments to fair value	$ (881)
Capital asset acquisitions included in accounts payable	$ 414

See Notes to the Financial Statements.